

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$265.84 ▲ 2.46%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.87T
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AMZN: Bounces Back as Walmart Stumble Highlights Amazon's Edge

WHAT HAPPENED

- AMZN popped 2.46% to \$265.84 while Walmart got hammered on weak US sales and soft guidance — the market is basically saying "if the biggest brick-and-mortar retailer is struggling, Amazon's e-commerce dominance looks even more valuable." That's a share-shift story: consumers pulling back means they're being pickier, and Prime + price + speed wins that battle.
- Prime Air (drone delivery) getting expansion headlines — small news today, but it signals Amazon is moving on the last-mile cost problem, which is the single biggest lever for retail margins.

WHY IT MATTERS

The Walmart miss is more important than it looks. When the largest US retailer guides down, it usually means the consumer is weakening — but AMZN went UP on that news, which tells you the market thinks Amazon TAKES share in a soft economy (cheaper, faster, subscription-locked customers). Meanwhile, the Barron's piece on the "AI bond bonanza" is a yellow flag for the whole hyperscaler group — Amazon, Microsoft, Google are all borrowing heavily to fund data center buildouts, and if interest rates stay elevated, that debt gets expensive. Watch for AWS growth to justify the capex — if it re-accelerates above 20%, the stock breaks \$287 (52-week high); if it stalls, the bond overhang becomes the story.

POLICY & POLITICAL WATCH

Two things to track: (1) The FTC's antitrust case against Amazon is still grinding — a settlement or narrow ruling is the bull case, a forced separation of AWS or the marketplace is the tail risk (unlikely near-term but real). (2) Tariff policy — the administration's ongoing tariff posture with China directly hits Amazon's third-party sellers (60%+ of units sold), which could pressure marketplace fees or shift more volume to Amazon's own private label (actually margin-accretive). Also worth watching: FAA drone delivery rules — any loosening is a direct Prime Air tailwind, and there's bipartisan support for accelerating US drone regulations to compete with China.

IS IT EXPENSIVE?

At ~39x forward earnings, you're paying \$39 for every \$1 of expected profit — that's premium to the S&P (~22x) but reasonable for a company with AWS (a ~35% margin business) growing ~18%. The key is EV/EBITDA around 17.5x, which is actually cheaper than Microsoft (~22x) despite similar AI exposure — so relative to Big Tech peers, Amazon looks fairly priced, not expensive. Justified if AWS growth holds; stretched if consumer weakness bleeds into retail margins.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$265.84
12M Price Target	\$310.00
Upside / (Downside)	+16.6%
Market Cap	\$2.87T
FY2026E Revenue	\$512M
FY2027E Revenue	\$572M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	38.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$272.00	\$250.00
6 Months	\$310.00	\$285.00	\$240.00
1 Year	\$340.00	\$310.00	\$230.00
2 Years	\$400.00	\$350.00	\$220.00
5 Years	\$550.00	\$450.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.51% today, +4.30% week) — likely reflecting policy tailwinds or defensive rotation as investors get nervous about consumer names. Consumer Discretionary also up despite Walmart, because AMZN is dragging the sector.

COOLING OFF: Traditional retail is clearly cooling — Walmart's guide-down is the tell. Anything without an AI or e-commerce moat is losing bid.

ROTATION WATCH: Money is quietly rotating from brick-and-mortar retail INTO Amazon and defensive healthcare — that's a "late cycle" pattern where investors want winners-take-all businesses.

RELATED PLAY: If you believe the AMZN drone/logistics thesis, look at industrial REITs that lease warehouse space and last-mile logistics infrastructure — they benefit from every package Amazon ships.

WHO'S WINNING IN THIS SPACE?

- **COST (Costco):** Winning the "consumer trades down but stays loyal" theme — membership model is Amazon Prime's closest analog.
- **MELI (MercadoLibre):** Latin America e-commerce, growing faster than AMZN with less regulatory heat.

AMZN CONTEXT: AMZN is at 77% of its 52-week range and outperformed retail peers today — that's leadership behavior, not laggard behavior. The setup favors a breakout attempt toward \$287 if broader tape holds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Amazon is one of the few names where you get retail dominance, cloud/AI leadership, and optionality (drones, ads, healthcare) in one ticker. Not pounding the table because valuation isn't cheap and there's a real AI-capex overhang.

POSITION SIZE: 5-8% — core holding size. The business is durable enough to be a foundation, but I'd leave room to add on dips.

ENTRY POINTS: The \$258-262 zone held twice this week — that's your accumulation area. Anything under \$250 is a gift.

TIME HORIZON: 12-24 months. Catalyst: Q3 earnings (AWS growth number is THE metric), plus any FTC resolution.

WHEN TO BAIL: AWS growth slipping below 15%, or a forced structural remedy from the FTC case. Also, if Herrington-style insider selling accelerates into a cluster, reassess.

HEDGING: Buy a small amount of downside protection (puts) around earnings — costs maybe 1-2% of your position but caps the tail risk if guidance disappoints. Or pair-trade by shorting a weaker retailer.